Buying in Melbourne: why taking our time makes sense

3 November 2026

In short: keep looking and be ready, but buy only when the right house comes up at a fair price. Don't buy just because a house is available, and don't buy before your trip.

1. Melbourne prices are still falling

- Melbourne house prices are down **8.9% over the past year**, and **3.2% in the last three months** (to 31 October).
- Homes are taking longer to sell than at any time since 2020: **39 days on average**.
- Sellers are taking bigger discounts than at any time since 2019: **4.7% off** their first asking price, on average.
- **Fewer than half** of auctions in the big cities are selling.

When prices are falling and homes sit on the market, buyers have time and room to bargain.

2. Interest rates went up again today

- The Reserve Bank raised rates today to **4.85%**. That's the **fifth rise this year** and the highest in 18 years.
- The Reserve Bank expects living costs to **stay high through much of 2027**, so rate cuts may be a long way off.

Higher rates for longer usually mean house prices stay low for longer.

3. The banks expect more falls until about the middle of 2027

- NAB and CommBank both expect Melbourne prices to keep falling until around **mid-2027**.
- That would be about **3–4% more** than today: roughly **$45,000–$60,000 on a $1.5 million home**. Today's rate rise came after those forecasts, so the fall could be a bit bigger or last longer.
- These are forecasts, not promises. They can be wrong in either direction.

4. Beachmere is a different story

- Brisbane prices, which include Moreton Bay, are now **falling faster than Melbourne's**: **2% in October alone**, and **8.3%** since May.
- So **holding on to Beachmere** while we wait doesn't help us. Waiting to **buy** in Melbourne and waiting to **sell** Beachmere are two separate decisions. We should talk about both.

5. A wrong choice is expensive

- **Stamp duty** on a $1.5 million home in Victoria is about **$82,500**. It's money we don't get back if we buy the wrong house and move again.
- At an **auction**, there is **no cooling-off period**. Once the hammer falls, the house is ours.

6. We're not ready yet

- We haven't finished the survey, agreed on the areas, or inspected homes in them.
- Some of the hills areas we liked turned out to have **bushfire rules on most streets**. We only found that out last week.

Your trip is good timing

- You're away from **mid-November to mid-February**. That's a natural pause: no need to decide anything before you go.
- While you're away, Nish can watch prices and look at areas. When you're back, we inspect homes together from **mid-February**.
- If the banks are right, prices will be near their lowest around **April to June 2027**. That's when we'd be ready to buy.
- Selling Beachmere is its own decision. We can talk about listing it around **February**, after the summer holidays.

What would tell us it's time to buy

1. Interest rates **stop going up**, or start coming down.
2. Prices in the suburbs we like **stop falling for two or three months**.
3. **More than 6 in 10 auctions** sell again.
4. The **right house** comes up at a price that matches recent sales nearby.

Sources: Reserve Bank of Australia (3 November 2026); Cotality Home Value Index (data to 31 October 2026); NAB, CommBank and Westpac forecasts (September–October 2026). Details are in Nish's evidence pack. This is general information, not financial advice.